

RUBÉN VILLAHERMOSA CHAVES

Wyckoff 2.0

Structures, Volume Profile
and Order Flow



COMBINING THE LOGIC OF THE WYCKOFF
METHODOLOGY AND THE OBJECTIVITY
OF THE VOLUME PROFILE

Wyckoff 2.0: Structures, Volume Profile and Order Flow

Combining the logic of the Wyckoff Methodology
and the objectivity of the Volume Profile

Rubén Villahermosa Chaves

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PREFACE

With the publication of this new content we give continuity to the first book "The Wyckoff Methodology in Depth", where all the analytical tools that this methodology addresses are presented in a clear way, as well as the more theoretical aspect in the study of the behavior of financial markets.

In this book we will go a step further and address more complex concepts; we will review the doubts most commonly raised by students of the methodology and incorporate new tools based on the information provided by the volume data that will be very useful, such as the Volume Profile and Order Flow.

I strongly recommend that before starting the study of this book you have previously internalized all the concepts covered in the first one, since everything seen is taken as understood and, if not, it could cause some confusion or lack of understanding.

PART 1. ADVANCED CONCEPTS OF THE WYCKOFF METHODOLOGY

As with the previous book, it is not intended at any point to divulge the Wyckoff methodology approach from its purest point of view. There may be Wyckoff traders who do but we understand that today's markets have changed substantially from those studied by Richard Wyckoff and it is our task to know how to adapt to these changes.

But if there is one thing that is unchanging and where the advantage of this approach over others really lies, it is the principles underlying its teachings. Regardless of how markets and their traders have changed, everything is still governed by the universal law of supply and demand; and this is the cornerstone of the methodology.⁵

This new way of analyzing the markets that I propose has caused me some discussion with well-known (purist) disseminators of the method. As I say, my objective is not to teach the most primitive form of

the methodology, but to take the principles that I consider valid and enhance it together with the most modern tools of volume analysis.

Actually, I believe that disseminating Richard Wyckoff's teachings as he shared them is practically impossible. In the end, everyone teaches their own view of the methodology along with the tools they trust the most; and this is not to say that any one is above the rest. The important thing is to obtain profitability from the market regardless of the approach used.

Having said this, I am sure that if Richard Wyckoff were alive today, he himself would have taken care to evolve his own teachings to adapt to new markets. As he was at the time, he would have remained a student of volume and this would have led him to delve deeper into tools such as the Volume Profile and Order Flow.

And this is exactly what we have done and what I will introduce you to throughout the book; bringing together the most solid principles of market analysis with the most advanced tools of volume analysis.

But before we get to that point we are going to add some advanced concepts that you should know and clarify a number of frequently asked questions.

1.1 THE LABELS

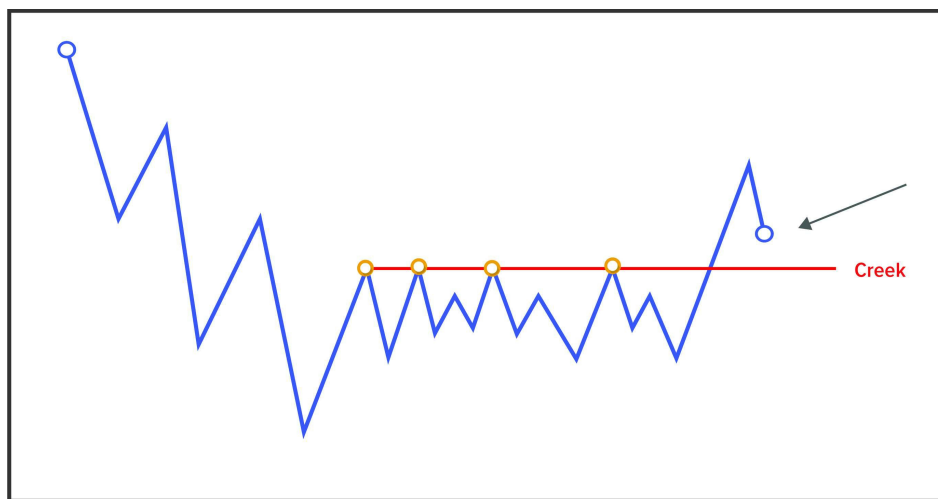
All the theoretical section seen in the first book is necessary and indispensable content to master this approach and truly understand how the market moves, but the Wyckoff methodology, or my way of understanding it, goes much further.

It is not simply a matter of labeling a chart almost robotically and that's it. We have learned what underlies each event; how it is formed, how it is represented on the chart, the psychology behind it and so on. But as I say, the method is much richer.

I say this because, by the very nature of the market, it is practically impossible for any two structures to be completely the same. While it is true that on a daily basis we see "textbook" schemes, which are very genuinely adapted to classic examples, on most occasions the market will develop less conventional structures, where the identification of such events will be more complex.

It is therefore essential not to focus on the exact search for events (mainly the stop events that make up Phase A) and to keep in mind that what is really important is the action as a whole. In other words, in many charts we will see that a trend movement stops and starts a lateralization

process, but we are not able to correctly identify those first 4 stopping events. In view of this, we may discard the asset and miss a future trading opportunity. This is a mistake. As I say, the important thing is not that we know how to identify those 4 stop events, but that the market has objectively produced the stop of the trend movement. You may not identify the Climax, the Reaction and the Test in a genuine way, but the objective is that the market has stopped and has initiated a change of character (migration from trend to sideways).



As we can see in the examples, although these structures do not look anything like the classic structures already studied, if we open the graph and we find ourselves at the point marked with the arrow, it is not unreasonable to think that possibly a process of accumulation has developed below. It will be more or less difficult to identify the events of the methodology, but what is objective is that we see a level where the price is that we see a level where the price has rejected on several occasions (Creek) and has finally managed to break it and position itself above. This is the key.

Rather than thinking about labeling each and every price movement, we are going to focus on trying to identify according to the traces we observe who is probably gaining market control based on the theory studied.

1.2 PRICE VS. VOLUME

In our way of conceiving market analysis, we initially do not value the possibility of not taking into account either of these two data points, price and volume. But as you delve deeper into the ecosystem that surrounds the financial world, some obstacles start to arise.

Without beating around the bush, I have to say that in my view price data is certainly more relevant than volume data. And I will now reason this assertion on the basis of two elements.

On the one hand, the intraday volume that we can analyze in any asset can be very misleading depending on the time of the session. For example, at the opening of the American session of the S&P500 in its local time (ETH), we will always see a large volume, much higher than that seen prior to that opening during the regular time (RTH). And of course, all the previous analysis will be biased in a certain way.



As we can see in the chart of the ES (SP500 future), the highest volatility and therefore price movement occurs during the American session, with a very clear lack of participation during regular trading hours. It would not make much sense to make analysis taking into account globally all price action and volume as it could lead to confusion.

It is not that during regular trading hours we have identified a movement with a lack of interest (low volume); it is that this low volume is due to an absence of traders at that time. The same would be true for other times during the session, such as at the mid-day stop or just before the start of the final stretch of the day, when there is also a significant increase in volume.

Once we know this, we have two ways to deal with this situation:

- ❖ If we want to continue trading on intraday time frames we must necessarily analyze the price and volume in comparative terms; on the one hand the one observed during local hours and on the other hand the one seen during regular hours.
- ❖ Furthermore, the best way to avoid confusion is to analyze the daily chart. As this temporality covers both sessions

(ETH and RTH), there is no need to distinguish them for analysis. But of course, this would already require a total change of trading style.

If there is one piece of data that already incorporates all the information, it is the price. The price is the graphical representation of all the orders already executed. We could be analyzing an asset at any time and the price action would be faithfully reflected without having to be aware of the time of the session and perform comparative analysis. This is the advantage of price.

Although without volume we lose a large part of the available information, the continuous interaction between supply and demand leaves its traces in the price and it develops some certainly repetitive patterns (not in form but in substance).

Obviously I am not recommending trading without analyzing volume data, it is not necessary; I simply wanted to highlight the prevalence of price over volume for our way of understanding and trading the markets.

Later on we will also see another drawback of volume data due to the Over the Counter (OTC) and Dark Pools markets.

1.3 TYPES OF ADVANCED CHARTS

In recent times, other forms of representing market activity have also appeared. Among these types of charts are tick, volume and range charts.

The main advantage of these charts is that they reduce the noise present in time charts. These three types of charts have the common peculiarity that they eliminate the time variable, which can be very useful precisely for conditions such as those described above, where the market spans different activity environments.

1.3.1 TICKS CHARTS



A tick represents a transaction, a negotiation between two parties. Therefore, the tick chart will be updated (the current candlestick will be closed and a new one will be opened) when a certain number of transactions (ticks) have taken place.

The configuration of the chart (the number of ticks) will vary from market to market as volatility differs from one market to another. This is why you will have to make different tests until you find the most suitable one.

Generally the volume will be very similar in all the candlesticks generated, but there will be subtle differences that can give us interesting information since this type of chart measures the activity in terms of transactions, but does not take into account the volume or amount traded in those transactions.

That is, a chart set at 1000 ticks will generate a new candlestick when those 1000 ticks occur, but the amount traded in those 1000 transactions will differ. It is possible that 1 contract or several contracts are traded in one transaction.

1.3.2 VOLUME CHARTS



The difference between tick and volume charts has to do with the amount traded. While the tick chart measures the number of transactions without taking into account how many contracts, shares or units have been traded in each transaction, the volume charts measure the number of contracts, shares or units traded before the generation of a new candlestick.

For example, a chart set to 1000 volume will generate a new candlestick when that amount is traded, regardless of the number of trades that were necessary for its completion.

The main negative aspect of using this type of chart is that it disables the use of volume analysis techniques.

1.3.3 RANGE CHARTS



While the two types previously presented based their representation on volume data, the *range* chart is based on price data.

This type of chart represents market activity from the point of view of price movement. All its bars will be displayed with the same size, regardless of the time it took for their formation. In high volatility environments more bars will appear and vice versa for low volatility environments.

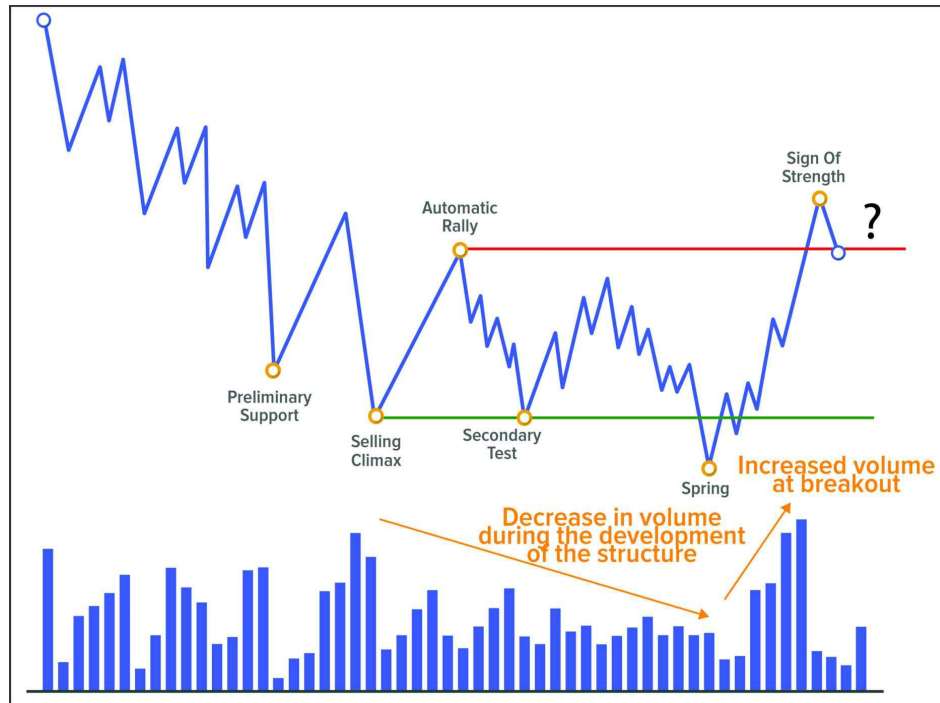
In case the chart is set to range 15, new bars will appear when the price moves 15 ticks in one direction or another

1.4 ACCUMULATION OR FAILED DISTRIBUTION

When the analysis of all the traces observed on the chart suggests that the imbalance is occurring towards one side but at the moment of truth the opposite side presses more aggressively, we will be talking about continuity failure or failed structure.

During the development of the structures, the control of the market is at stake and the market may be changing sides (in favor of buyers or sellers) continuously, depending on the types of traders and the valuations they make of the asset.

As we know that until we visualize the effect of a cause we cannot determine what it is (accumulation or distribution), it would almost be more logical to avoid using the term failed structure, since a failed accumulation will always be a distribution structure and vice versa. But it is a very interesting concept that helps us to understand an important market dynamic, which is none other than the knowledge of the different types of traders and how they intervene based on temporality



When the price makes a potential Spring at the lows of the structure and from there manages to reach the top of the structure again, it is obvious that buyers have entered with some aggressiveness down there; but we do not know when they will decide to close their positions. It may simply be that they are very short-term traders who take advantage of the visit to some liquidity zone (either at the highs of the structure or at some intermediate zone) to find the counterpart with which to match their orders and to close their positions there obtaining profit. This closing of buying positions would cause a loss of bullish momentum and possibly a new downward turn.

Or it may be that traders who have bought at the Spring have a longer-term perspective and will do everything possible to stay in the market and defend their position if necessary, producing the full development of the accumulation.

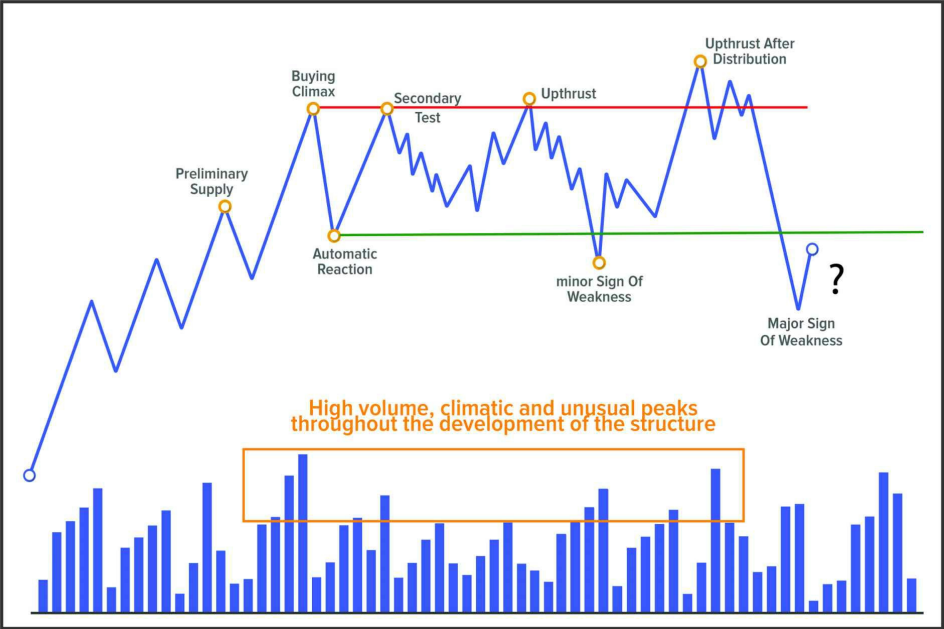
In addition, we also do not know if there may be longer-term

traders, with a greater ability to move the markets pending this upward movement to take advantage of it and enter aggressively short.

On the other hand, it should also be remembered that not all large traders win systematically and recurrently over time. Sometimes many of them are forced to take losses and this failed structure context could be a perfect example. As Al Brooks rightly says in his books on Price Action, in liquid markets every slightest price movement is generated because one big trader is buying and another is selling. It is a battle between these large capitals and therefore there will be part of them that will generate a loss in some of their trading.

The key to determine that we are in front of a failed structure is that it has absolutely all the traces in favor of one direction but at the decisive moment (in the test after the break); it fails and generates an imbalance in favor of the opposite side.

As for the example of failed accumulation, we would have to see that all the traces suggest that the market is controlled by the buyers, that the price has to develop a Spring potential, that the bullish breakout is genuine from the point of view of price action and volume; but that finally in the BUEC potential position the price fails to continue rising, and an imbalance in favor of the sellers is provoked, leaving the structure as distributive.



Exactly the same but in reverse we would need to see to determine a failed distribution: traces in favor of sellers, development of potential Upthrust, genuine bearish breakout and that in test position after breakout aggressive buying enters and rotates the structure as accumulation.

It is important to be aware that we do not know the ability of traders to continue to control the market because at any time a trader with a greater capacity can appear and cause the rotation. What at the beginning seemed to be unbalanced to one side, finally with this new appearance, the imbalance is confirmed to the opposite side.

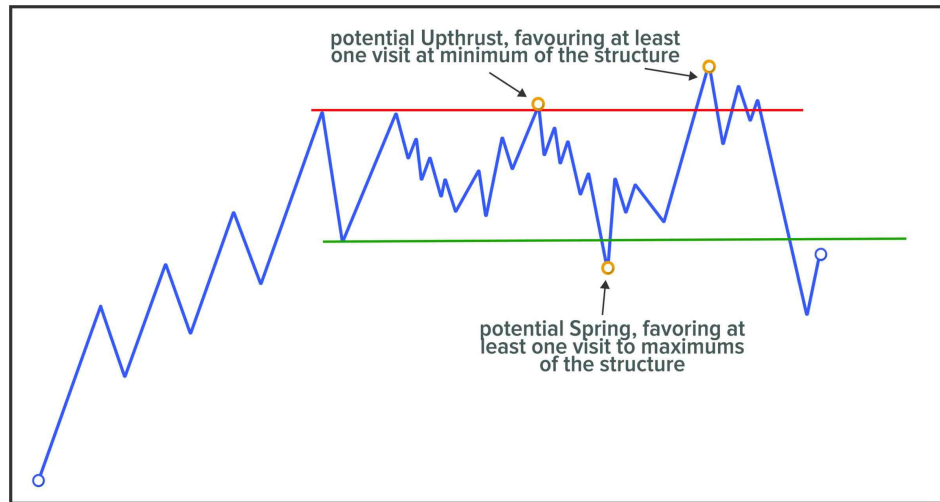
So we have these two very important casuistries to evaluate:

- ❖ **We do not know the intention of the traders who are supporting the current movement.** If they are short term traders who will close positions in the next liquidity zone or if on the contrary they have a longer term perspective and will continue until the complete development of the structure.
- ❖ **We do not know if traders with a higher capacity can step in.** At the moment of truth, in the test after the breakout that would confirm the directionality of the structure, aggressive traders with a greater ability to move the market by pushing in the opposite direction may appear, since in the longer term they may have a different vision.

Obviously we encounter this difficulty continuously, that is why our advantage is to operate in favor of the last imbalance and for this it is vital to identify the dominant event: the shock.

The shakeout, as already discussed, is the most determining action

in market functioning. Its underlying logic is so powerful that it leads us to always bias in favor of it. Then, if the rest of the traces go along with it, we will always favor trading in the direction of the last shock, i.e. long after seeing a potential Spring; and short after seeing an Upthrust.



Some may conclude that waiting for price at extremes and trading only potential Upthrust/Spring situations is the most convenient way to simplify the whole analysis; and it's not entirely out of line. That's the beauty of the Wyckoff methodology, that by offering a way to understand as objectively as possible how the market moves, each trader can use its principles to develop their own strategies.

From my point of view, the traces offered by the development of the structures from their inception are significant and help us to establish scenarios with a higher probability. For example, if I observe certain distributional characteristics in a structure and it is subsequently in a position of potential bearish breakout and potential Spring, the analysis of the context will lead me to favor the bearish breakout; while the trader who only trades the shocks at the extremes without evaluating anything else will do the opposite. And generally the market will develop (in this example) in favor of the distributive continuation since the imbalance is

latent and has been evident during the development of the range.

1.5 STRUCTURAL FAILURE

It is a very simple concept that can help us to evaluate the dynamics of the movements.

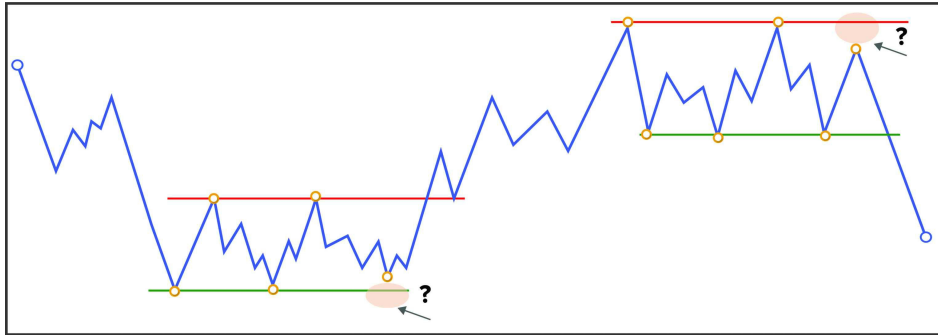
This failure can be found in all types of structures; in structures with bullish or bearish slopes as well as in horizontal, convergent or divergent structures.

The first thing to do is to identify the structural logic that the price decides to follow. This will be determined by the successful touches that respect a structure formed by two zones of supply and demand. This is the initial key: identify the structure that the price has validated. The more touches it has, the more confidence that structure will give us.

At that point, and under the principle of favoring the continuity of what the price has been doing, it would be logical to think that the market will continue to move respecting that structural logic, moving from extreme to extreme.

In the event that the price fails to develop a new test on the opposite side and instead generates a turn before reaching that zone, we will say that it has developed a structural failure since it has not continued with the dynamics that it was bringing and this signal adds strength to the scenario

in favor of that last turn.

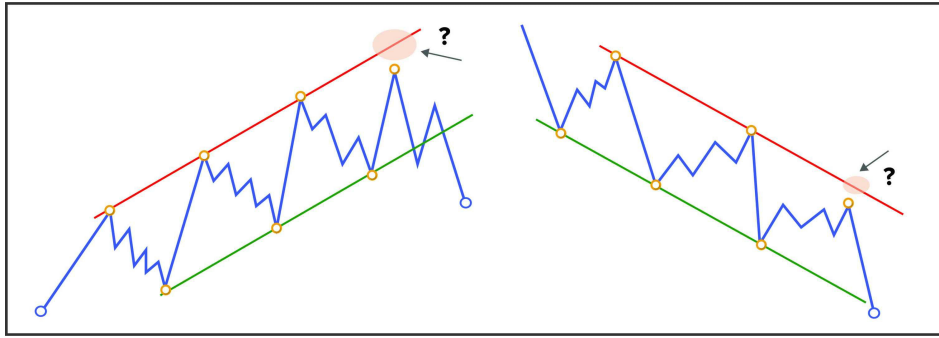


From this concept, it is understood that the event of the last support of supply or demand (Last Point of Support and Last Point of Supply) are structural failures in which the price is blocked in its attempt to go after the shakeout event to start from that point the subsequent movement to break the structure.

1.5.1 WEAKNESS

The example of structural failure that denotes weakness is found when the price, after validating a structure on several occasions, is unable to continue moving under that logic of movements and cannot reach the top of the structure.

This inability to continue moving as it had been doing up to that point denotes underlying weakness. Buyers are no longer in control of the market and it is the sellers who have begun to appear more significantly.



This indication does not suggest an immediate reversal to the downside; rather, it is one more element to take into account when correctly reading the market context.

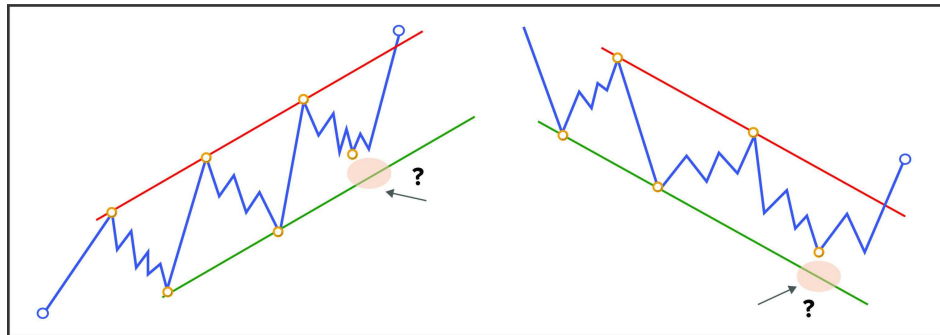
It could simply be a temporary halt of the previous trend to develop from there a period of consolidation during which to reaccumulate stock and continue rising.

1.5.2 STRENGTH

The action that would denote bottom strength would be obtained when we see that the price cannot reach the bottom of the structure it has been working on.

That is, if the price has been developing a series of lower highs and lower lows whose action fits perfectly within the upper and lower limits, we will favor that the market continues to behave in the same way and therefore we will look for a new test on the opposite side of the structure. If, for example, it comes from a test on the high side of the structure, the dynamics suggest that it should now test again on the low side. If during the development of such a move the price turns around without reaching

the bottom, we will say that the market has generated a structural failure and it is a sign of market strength as buyers have not allowed the price to fall further down.



If in addition to this footprint such a move manages to shake out some relevant previous low we would be in a potential Spring situation with greater underlying strength because it conflates with that structural failure.

The reasoning behind such action is that buyers have entered aggressively unbalancing control in their favor. These buyers have a higher interest rate and are blocking the price from falling. They don't want the price to go down. They don't want anyone else to be able to ride the upward move.

This indication does not suggest an immediate reversal to the upside; rather it is one more element to take into account when reading the market context correctly.

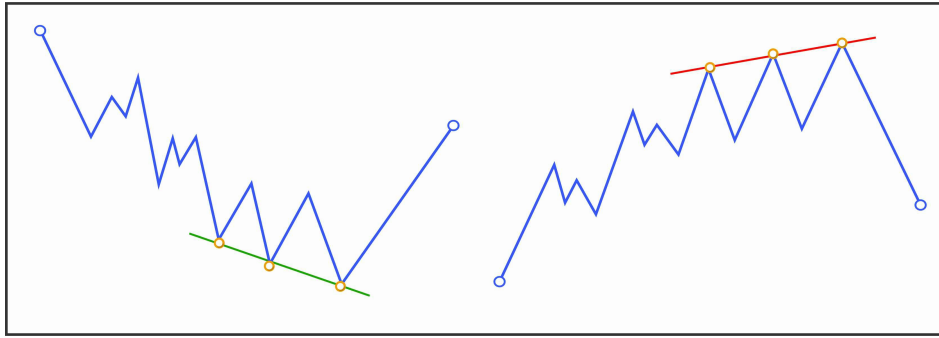
1.6 SHORTENING OF THE THRUST(SOT)

It could be translated into English as "Shortening of the Thrust". It is a pattern of change of direction. It is an analytical tool originally used by Wyckoff to measure the loss of momentum or exhaustion of an impulsive motion or thrust.

Visually it is observed how each new extreme travels a shorter distance than the previous extreme and therefore it is said that the thrust is shortening.

- ❖ For the uptrend example, we would observe how each new high travels a shorter distance than the previous high; suggesting some deterioration in demand and signaling a possible bearish turn.
- ❖ For the downtrend example, we would observe a decrease in the distance the new low travels relative to the distance the previous low traveled, suggesting some deterioration in supply and signaling a possible upward turn.

The main idea is a lack of continuity in that direction; an exhaustion of the forces that so far seemed to be in control of the market. The loss of momentum anticipates a major pullback and sometimes even a reversal of the trend.



For this behavior to be valid, a minimum of three thrusts in the direction of the trend is required. From three or four momentum moves, it is useful to start looking for this shortening pattern in the final push.

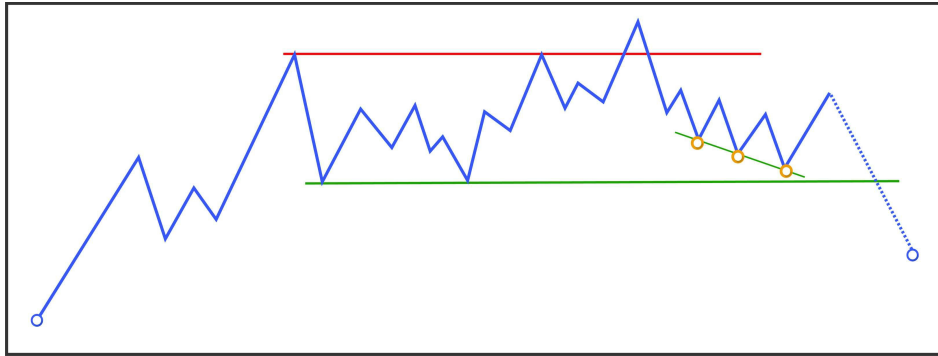
- ❖ When the price advance shortens but there is strong volume, it means that the big effort got little reward: Effort/Result Divergence. In the case of a bearish example, demand would be appearing; and in a bullish example, supply would be appearing.
- ❖ When the price advance shortens and there is also weak volume, it means exhaustion. In the case of a bearish example, supply would be withdrawing; and in a bullish example, it would be buyers withdrawing from the market.

When there are more than four pushes and shorting persists, the trend may be too strong to trade against.

What would confirm the change in direction would be a strong impulsive move in the opposite direction. After the shortening of the thrust, we want to see the new impulse in the opposite direction have high volume, denoting intentionality. After this impulse that changes direction we could wait for a pullback to seek to join in the direction of the new impulsive movement.

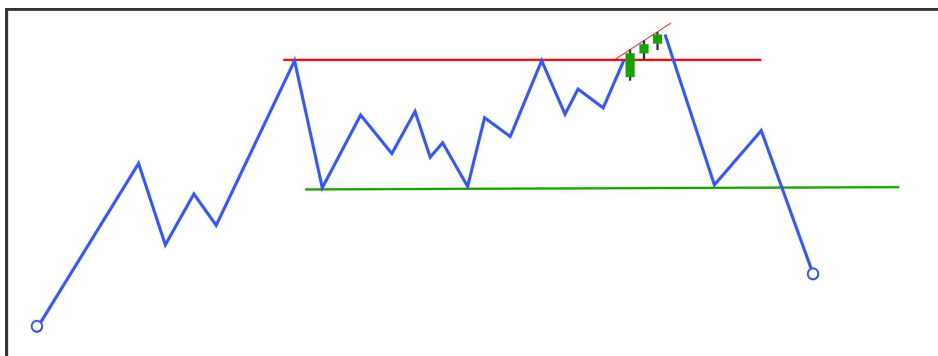
Always keep in mind the context in which the shortening of the

thrust takes place:



If the price breaks the top of a range and reverses, this action is a potential Upthrust. If after a few bearish waves a shortening of the thrust occurs and suggests a buy trade; you should keep in mind that the price has just developed an Upthrust and will most likely continue to fall. Any buy trade should be avoided, and if taken, closed quickly after a weak response. The same thing would happen in case of observing the bearish pattern after a potential Spring, the directional bias would be marked by the shakeout so the SOT short trade idea would have to be questioned.

The Shortening of the Thrust pattern can also be seen in individual bars as well as in moves. In this case, one would observe how successive bars make less and less progress. If it also coincides in an operating zone where we would be in a position to look for a counter trade for context, the situation would be ideal.



1.7 OTHER TYPES OF STRUCTURES

Initially, structures with horizontal development have been presented as a basic schematic. They are the easiest to identify and for the operator who begins to deepen for the first time in the Wyckoff methodology I would recommend to work this type of schemes almost exclusively.

As we have already mentioned on several occasions, the market is a living entity that is constantly changing due to the continuous interaction between supply and demand. This interaction is what causes the generation of structures, which can be developed in different ways.

It would make no sense to approach the market thinking that it must behave as established by the basic schemes initially studied. The reality is that every moment is unique and will be different from any future one, since it is practically impossible for the same circumstances to occur at two different moments.

For two structures to develop in the same way, the same participants should be present at both moments and behave in exactly the same way, which is impossible.

This is why it is important to be open-minded and try to go a step further in understanding the methodology. Wyckoff gave us some

guidelines to follow highlighting above all: how markets move; the processes of accumulation and distribution; and the three fundamental laws.

This is the theoretical framework that underpins the methodology. The Wyckoff trader relies on these tools to analyze the chart in order to try to elucidate who is in control of the market and thus be able to come up with judicious scenarios.

The next step is to be able to identify the development of a structure even if it does not look ideal. On many occasions we will be able to work in real time with structures that are very genuinely adapted to the classic structures studied, but there will be other occasions when this will not be the case.

And this should not be a cause for disappointment. Advanced Wyckoff traders understand that these accumulation and distribution processes can play out differently depending on how balanced or unbalanced the market is in favor of buyers and sellers.

This is the key to everything. Based on the condition of the market at that moment (who has the most control), the price will develop one type of structure or another.

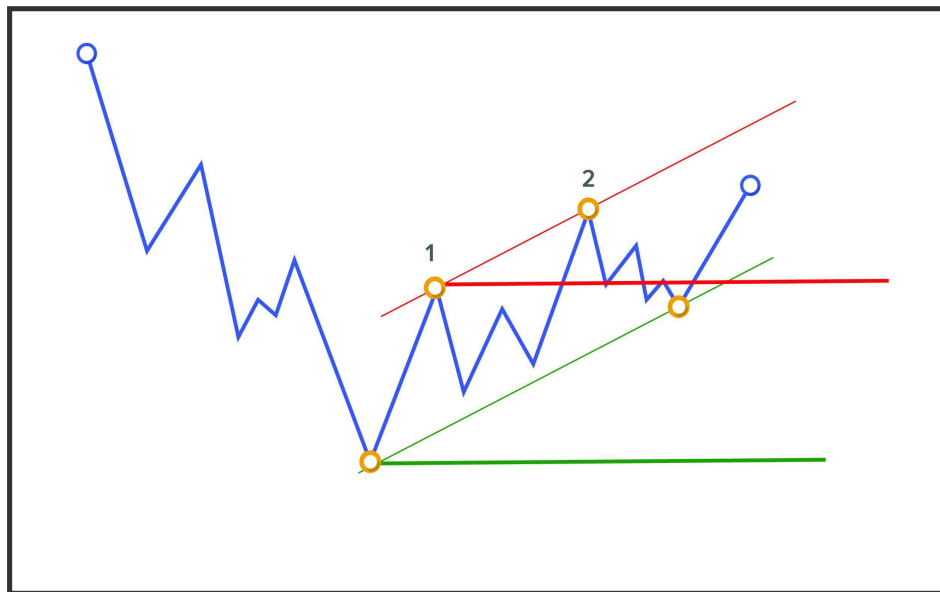
We will now look at some types of unconventional structures.

1.7.1 SLOPING STRUCTURES

Although they are certainly more difficult to see, they actually

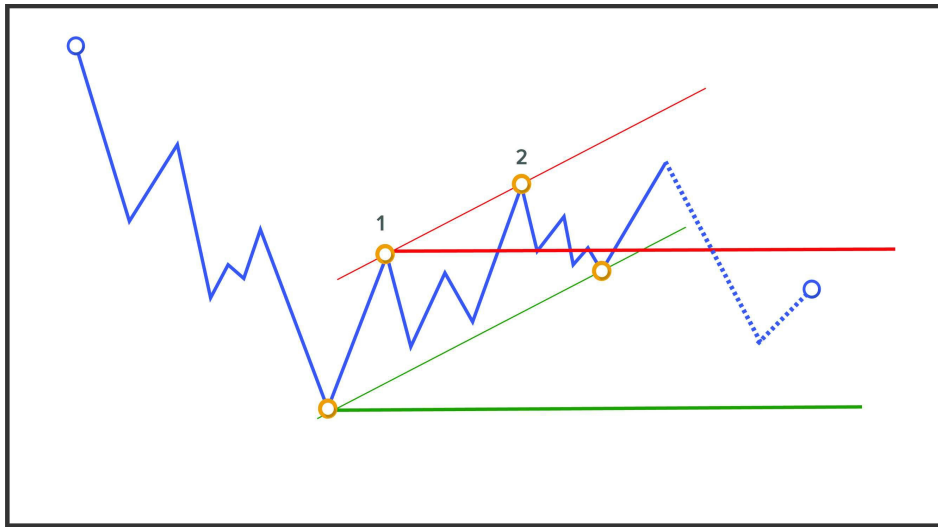
develop in exactly the same way as horizontal structures. Do a test; take one of the examples and mentally try to rotate the image to fit the structure as if it were horizontal. You will see that the general behavior, events and phases have an identical development to the horizontal ranges. The only element that varies is the market condition, and that is that there will be situations where either buyers or sellers will initially have more control.

Generally speaking, we are going to take the view that a structure with an upward slope suggests some underlying strength, i.e. greater buyer control; and that structures with a downward slope suggest some weakness, i.e. greater seller control.



Initially, when identifying the stop Phase A we will establish the limits of the range horizontally. If we observe that in Phase B the price does not respect these extremes and begins to move out of the structure, it will be time to start thinking about a possible sloping structure. We will connect these extremes and observe if the price really respects the limits of the structure.

At other times we will simply open a chart and it will be very visual how the price has respected the extremes of a sloping structure. Connect the lows and highs of Phases A, B and C. You can draw one end first and clone the line at the opposite end. The important thing is that the channel contains virtually all of the price action within it. The more touches these extremes have, the more strength that the structure is being worked (respected).



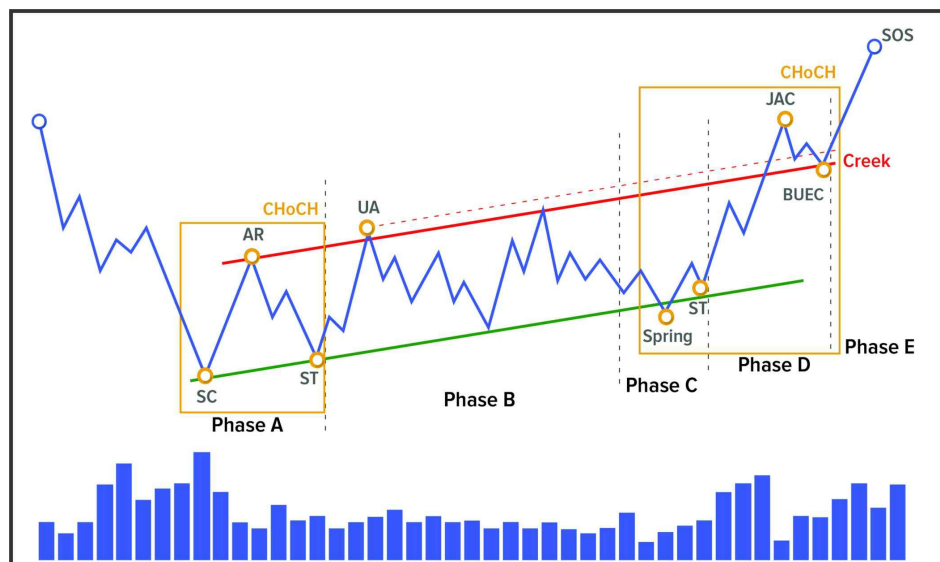
It is important to note that we do not need to see perfect price touches at these extremes to determine that the price is working that structure. It does not need to be something totally precise, the key is that it should be something that jumps out and allows us to connect all the extremes even if it is necessary to draw a zone of a certain width, rather than a line.

Similarly, I would always recommend not to discard horizontal levels altogether. In particular, they offer me greater confidence and there is a chance that the price will re-enter the original structure and we can continue to work it.

There are four possible sloping structures that we can find:

- ❖ Accumulation structure with an upward slope.
- ❖ Accumulation structure with bearish slope.
- ❖ Bearish sloping distribution structure.
- ❖ Distribution structure with upward slope.

ACCUMULATION STRUCTURE WITH UPWARD SLOPE



This is the variant that denotes the greatest underlying strength. After the stop Phase A, the price begins to fluctuate up and down during the development of the structure, clearly showing a series of rising highs and rising lows.

Buyers have certain aggressiveness; they value the asset price at higher levels and do not allow it to fall into oversold areas in order to protect their position.

These structures are not easy to operate mainly because the

overcoming of any previous high will seem to us that we are facing a potential shock that will turn the market down. But in reality it is the very nature of the movement: impulses and reversals.

And this impression will be even more present in the BUEC potential zone. Although this is the most conservative entry and gives us greater security, visually we see the price trading at very high levels and it does not seem to us (subjectively) an optimal entry point.

The market, oblivious to all this, will continue its course and if it is really an accumulation process, it will start from there the trend movement out of the range in search of higher levels of liquidity.

This example of the BTC is very instructive as we can identify one of the concepts presented, the structural failure of strength.



We see how after the abrupt fall the price accumulates quickly (green box) to start a new structure a few levels higher. This in itself is a sign of underlying strength. We see that there is a very high volume traded in that fall and the fact of seeing a subsequent reaction to the rise already suggests that at least in principle the sentiment is bullish. If analyzing the context we see that below the current price there are high

volumes we could make a simple interpretation as in such volume have entered aggressively buyers as otherwise the price could not have moved upwards.

Other interesting footprints that suggested accumulation to us is the decrease in volume during the development of the structure and the predominance of the bullish waves of the Weis indicator.

In addition to this, the key element that marks a before and after in the reading of the control in this structure is the Upthrust action. At the top of the structure it develops a minor distribution scheme. This pattern could very well have acted as a function of UTAD and triggered the bearish breakout. This is the behavior we expect to happen after a shakeout, but what we see is a total inability to fall. After this minor distributive scheme the price fails to even reach the bottom of that upward sloping structure it has been working on, and this is nothing more or less than a structural failure of strength.

Then it develops an internal shakeout that acts as a test event in Phase C causing the final imbalance and continuation to the upside.

Also noteworthy is the location of the High Volume Node and the VPOC of the structure. How the price is unable to cross this high trading zone, suggesting the control of the bulls. We will talk about these Volume Profile zones later.

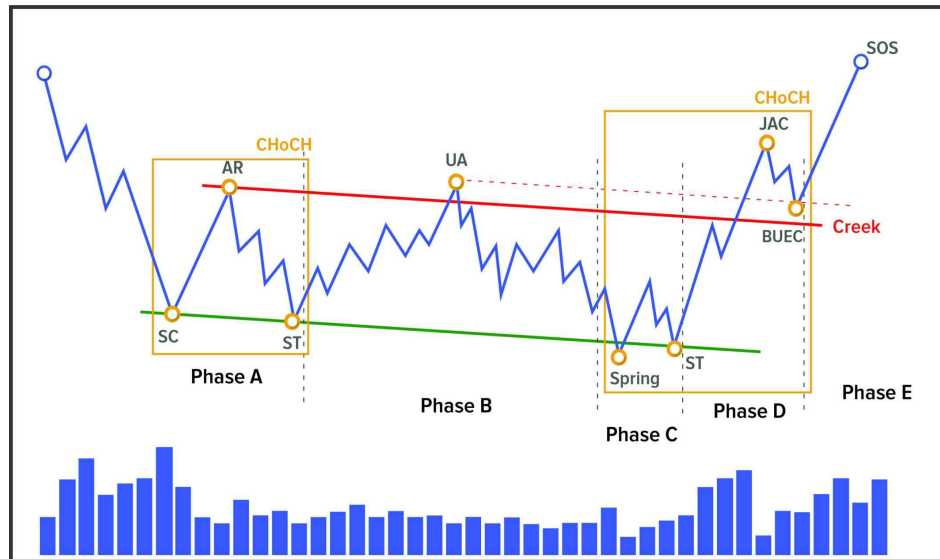


Here we see another example of a bullish sloping cumulative pattern. In this case the slope is quite steep suggesting that the current market condition is quite strong.

We see the final stop without climatic volume (Selling Exhaustion) and how from then on the price starts a clear succession of rising highs and rising lows. Decreasing volume during the development of Phases A and B suggesting absorption. It finds it difficult to position above the High Volume Node but once it gets it after the shakeout continues to show strength and manages to break to the upside with good bullish candlesticks (SOSbar).

Very interesting as the Back Up develops over the top of the structure (Creek) in confluence with an operating level of volume (weekly VWAP).

ACCUMULATION STRUCTURE WITH BEARISH SLOPE



This is the cumulative variant with the greatest weakness. The bearish slope, that dynamic of declining highs and lows, already denotes a total control of bearish traders. Weakness is latent, but even so, buyers finally appear and provoke the cumulative denouement.

After observing the appearance of the first trend stop events, the weakness will be so high that the market will not be able to withstand the development of a horizontal structure and instead signs of weakness will begin to appear, generating lower and lower lows.

Structurally, the price will respect the bearish dynamics, fluctuating between the upper and lower extremes of the channel. The new lows will travel a decreasing distance, visually observing a very common pattern of trend exhaustion (Shortening of the Thrust).

In addition, quite possibly the market will develop some kind of structural failure where at a certain point in time the price abandons the dynamics that would lead it to visit the bottom of the structure and instead finds support somewhere in between. Possibly it has made a floor and is ready to start the uptrend movement.

What would confirm the SOT pattern and structural failure would be for price to now develop strong upside momentum. Preferably we would want to see this momentum effectively break the bearish structure changing the market dynamics. Now it would be the time to wait for a bearish pullback to look to join in favor of the imbalance caused by the buyers.

In this example we see how the price is respecting the extremes by turning up and down. As we have already said, the identification of this type of structures is subjective so they should be very visual and not forced. The idea is that they contain most of the price action.



A detail to highlight in this chart is how the monthly VWAP acts. This is the darkest dynamic level and as can be seen the price reacts on it every time it interacts. From the first touch on the Secondary Test, the price stays consistently above it, a trace that would suggest some control on the part of the buyers.

As always, the key event is the total Shakeout that causes the development of the effect built on that cause. After said Shakeout the price develops a LPS above the VPOC of the structure, which is followed

by the JAC and the Back Up that again is going to look for a confluence zone (weekly VWAP and Value Area High) to from there continue the development in Phase E out of the range.

These zones and volume operating levels will be discussed in detail below.

Here we observe another clear cumulative structure with a bearish slope full of details.



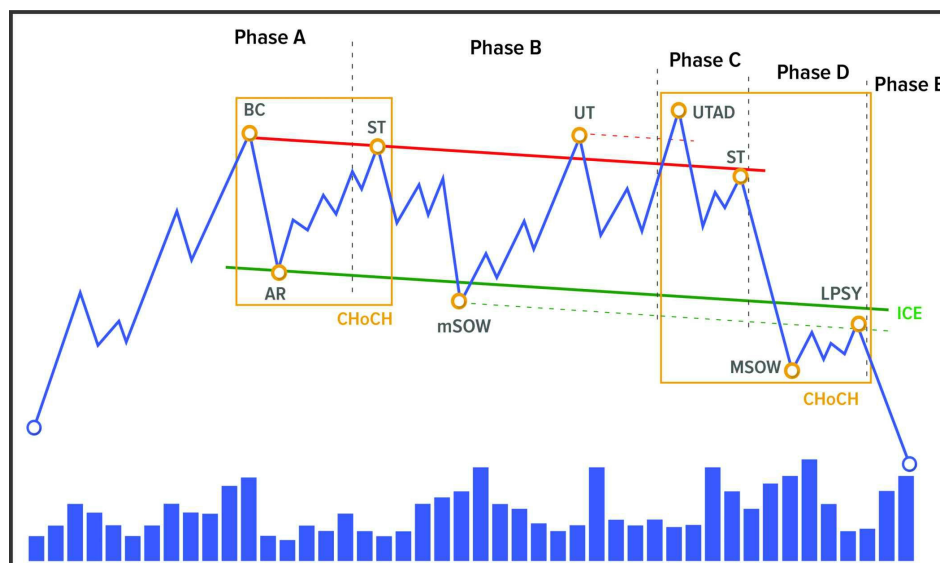
After the Phase A stop we see how the price mainly trades at the bottom of the range being unable to make any kind of test to the top, which suggests some underlying weakness. Gradually the volume decreases with respect to that seen in the SC and after the appearance of the Shakeout a sign of strength is now able to send the price to the top (minor Sign of Strength).

At that point we can already see how the lows of Phases A, B and C travel a ridiculous distance to the downside, suggesting the appearance of the Shortening Of the Thrust (SOT) pattern and its bullish implication in this case.

Although the first upward move is not strong enough to break the structure, it is already a certain change of character to have succeeded in making such a test. At that point the price develops an internal shock to a previous high in confluence with the weekly VWAP but this time the market is unable to test the bottom of the structure, developing a structural failure of strength evidenced in that LPS. Objectively we already have the Shakeout, the strength sample and the structural failure = potential imbalance in favor of buyers.

From then on and through two shows of strength the price manages to break the range and we see how it will look for a confluence zone to develop the test after the breakout (Back Up). This zone is composed of the Creek of the broken structure, the weekly VWAP (green dynamic line) and the Value Area High of the profile. Another example of the functionality of this type of operating levels supported by the context.

DOWNWARD SLOPING DISTRIBUTION STRUCTURE



This is the distributive structure with the greatest weakness. After the identification of the first events that suggest the stop of the previous trend movement, the strong condition of weakness that floods the market will cause the development of the subsequent movements in the form of declining highs and lows.

Visually, a bearish channel will be observed where the price bounces at its extremes respecting the dynamics.

The key, as always, will be in the correct identification of the Test event in Phase C that gives rise to the bearish breakout movement. We will constantly be looking for this test event to do so in the form of a shakeout (in this case, Upthrust After Distribution -UTAD-). It has already been mentioned countless times that it is the event that can give greater confidence to a trader when proposing scenarios and therefore in most cases we should wait for its appearance.

This final shakeout can be expected either in the form of an overshoot at the top of the structure suggesting an overbought condition; or as a local shakeout to some relevant previous high. The more showy and exaggerated the shakeout, the more confidence it will give us as it will suggest that it has captured greater liquidity and therefore the subsequent move will have greater momentum.

The main difference with respect to the cumulative structures that also have a bearish slope is that in this case we will not observe that loss of momentum characteristic of the Shortening Of the Thrust pattern, nor will we see any kind of structural failure.

It is certainly a difficult type of scenario to trade as subjectively the trader observes how the price is relatively low and may determine that it is not the place to go short. But we must work to eliminate subjectivities

and remain with the certain objectivity that this type of reading provides.

Due to the almost total control that sellers have, the price will move with great speed. We must be fully focused otherwise we will most likely miss the move. And this is not bad news because if you have been able to make a correct reading and see that the imbalance is in favor of the bearish, you may lose the trading opportunity for not being quick in your decisions, but at least you will not be in a position to enter on the wrong side of the market (buying) thus avoiding a loss.



In this example of redistribution with bearish slope we see that the stop occurs with a large volume during the entire development of Phase A and that during Phase B we also observe unusual volume peaks, characteristic footprint of distributive schemes. In addition to that the bearish waves Weis predominating at all times.

The price manages to position itself below the high volume node and a subsequent upward retracement movement will test this area leaving the Last Point of Supply event to generate the effective bearish breakout (SOW) from there. Once below the structure, a new test to the lower part of the structure and continuation of the fall.

A trader who does not take into account this dynamic of structures and who does not know how to analyze judiciously all the traces within himself would most likely see the price fall, away from the VWAP, in a possible oversold condition and perhaps have a bullish bias. But the truth is that the market at all times was flooded with weakness and this was reflected in the price action and volume.

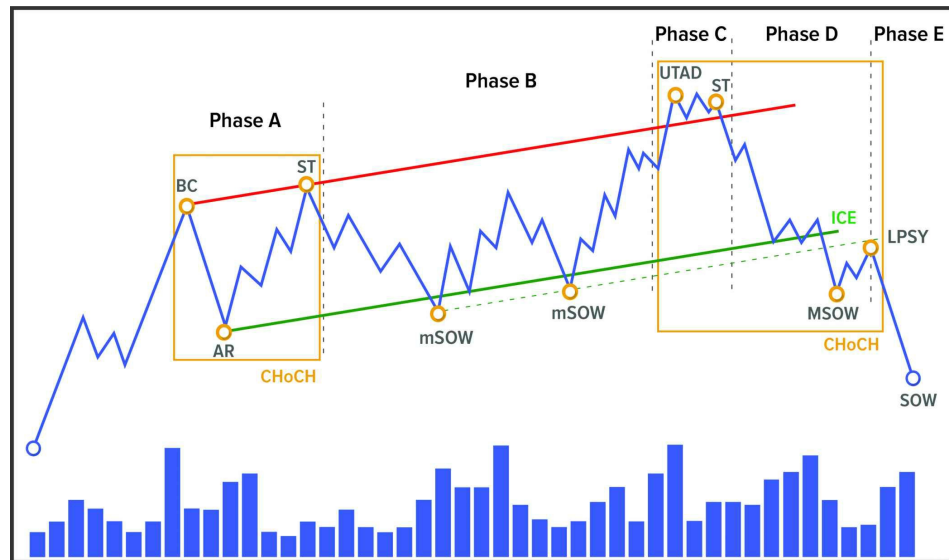


New example of distributive scheme with very characteristic footprints. Volume spikes, predominant Weis and a Phase C jerk that originates the bearish breakout movement.

The UTAD test happens at a very important location, at the VPOC of the range. It is the most traded price level. Moreover, it converges with the top of the structure. It is the ideal location to look for a short trigger. Another example of how the Volume Profile can help us to better analyze the market context.

Such was the underlying weakness that there was no possibility of a test after a breakout (LPSY) on the lower part of the structure.

UPWARD SLOPING DISTRIBUTION STRUCTURE



This type of dynamics initially presents certain background strength, evidenced by that succession of rising highs and rising lows until in its final development the aggressiveness of the sellers becomes evident rotating the structure as distributive.

As discussed in the previous structures, a useful tool for its evaluation can be the identification of the Shortening of the Thrust pattern. In this case, the price may make new highs but travel little distance from the previous highs, denoting that lack of momentum.

If it also leaves some kind of structural failure that denotes weakness (does not reach the top of the structure), it is a further indication that suggests that control may be rotating to the bearish.

As always, the reading will be enhanced by observing a shakeout (UTAD) either to the upper end of the structure in the form of an overshoot reaching an overbought condition; or to some relevant prior high.

Let's not forget the analysis of complementary tools that analyze volume data, such as Volume Profile and Weis wave analysis either. The location of the operating zones of the Volume Profile will always help us in making decisions, while the wave analysis will allow us to put the magnifying glass on the interest traded in the movements and will sometimes be key to a correct analysis.



Example of distributive structure with upward slope and without extreme shakeout. As more important details we see that climatic volume in the middle of the range. It is a warning sign as they should not appear as a general rule in cumulative schemes and therefore could be a footprint to add in favor of bearish control.

Very visual also the Shortening of the Thrust pattern between the highs set by the AR in Phase A, the UT in Phase B and the UTAD in Phase C. New highs but with little movement between them suggesting that loss of momentum.

On the Phase C UTAD we see how the price tries to leave the value area of the Composite profile and is rejected. The market is not interested in trading at higher prices and a new signal is added in favor of sellers.

This action could also be seen as the test event in Phase C where it shakes out highs from within the structure. No doubt this is a difficult scheme to trade in real time.

After a first movement of weakness the price manages to position itself below the VPOC of the profile and this action is accompanied with a large bearish Weis wave. At that point the directional bias should be clear and we are already in a position to propose a short trade idea.

Again we see the great importance of taking into account the volume levels. The test after breakout (LPSY) is going to look for the confluence zone of the broken structure and the VPOC to start from there the bearish continuation in Phase E.



This time the test event in Phase C if it manages to reach the top of the structure shaking all the highs of the same. As we know, this action adds further strength to the bearish scenario.

It is very striking the degree of bullish slope, suggesting at the beginning of the same a great strength in the background. Strength that is dissipated and blocked with the appearance of the volume peaks during the development of Phase C.

Unquestionable sign of weakness that sends the price to the origin of the movement in the AR and also manages to develop a new bearish leg. Not before going to visit twice the most traded volume level (VPOC) of the structure to continue trading down from there. Once again, this is an impressive demonstration of the effectiveness of these volume levels.

All the concepts related to the Volume Profile and its trading implications will be explained in depth in the last part of the book.

1.7.2 UNUSUAL SCHEMES

Within this category we will include all other structures that do not follow a horizontal or sloping formation.

If we wanted to get exquisite we could frame as Wyckoff methodology structures practically all accumulation or distribution ranges regardless of their shape, including the classic charting patterns that we all know such as head and shoulders, wedges, triangles and so on.

From my point of view trying to justify every single move and structure development under the Wyckoff methodology approach does him no favors. Wyckoff has little to do with those robotic patterns, His study is much deeper so the smartest thing to do would be to distance oneself from that possible link that may associate the classic chartist patterns with the Wyckoff method.

With the benefit of hindsight, as they say, any range can be labeled with some success. But this is operationally invalid. Labeling past charts

is a very interesting exercise for initiated traders in order to put their knowledge into practice and to feed their subconscious to prepare it for real time trading. But once you have a certain level of study of the methodology, continuing to label past charts becomes meaningless

The key is that any structure, if we force ourselves a little, can be turned into a nice structure that would fit perfectly into the events and phases of the Wyckoff methodology. But our focus should not be here, what good is it for me to know the location of the labels in a hypodermic (V-shaped) turn of the market if in real time I am not going to be able to trade it?

As I say, it is a waste of time and energy to try to study unusual structures, mainly because, as the name suggests, they do not appear with any regularity. Our advantage is to wait for classical structures to appear.

Classic structures, with a strict development of their events and phases, but at the same time allowing certain fluidity based on the particular conditions of the market. The perfect example of this statement would be the structures with slope: classic formations where all events and phases are perfectly observed, and at the same time the background condition slightly modifies the final development (some bullish or bearish dynamics)